

Fashion Retail Academy

Lesson 1 — What is Merchandise Planning?

Merchandise planning is the process of deciding what products to sell, how much to sell, when to sell them, and how much inventory to keep.

The 5 basic questions

- What should we sell? — categories, products, colours, sizes and options.
- How much should we sell? — sales targets by season, month, category, channel and store.
- How much inventory do we need? — enough stock to support sales without creating excessive inventory.
- When should stock arrive? — align receipts with seasonality and expected customer demand.
- What happens to unsold stock? — monitor sell-through, WOS, markdown and exit plans.

Simple example

Imagine a menswear brand planning ■10 crore of annual sales. A merchandise planner can split the target across categories, then plan products, quantities, timing, stores, inventory and markdowns.

Category	Example mix	Sales target on ■10 Cr
Shirts	30%	■3.00 Cr
T-shirts	20%	■2.00 Cr
Polos	20%	■2.00 Cr
Trousers	10%	■1.00 Cr
Denim	20%	■2.00 Cr

Key takeaway

The objective is not simply to sell more. It is to sell the right product, at the right time, in the right quantity and at the right margin.

Practice

Use the accompanying Excel workbook to build a simple category sales plan for a ■10 crore menswear business. Change the category mix and observe how the planned sales change.